Corporate social responsibility

Businesses today must aim not only to do no harm to the environment, people, or communities, but also to show commitment to building a better society. This is termed corporate social responsibility (CSR).

How it works

For a business, CSR goes further than aiming to be compliant with national or international regulations, managing risks, or corporate philanthropy—it has to be an integral part of every aspect of operations, helping to create a sustainable business. A company still has to be competitive and profitable, but must avoid making decisions merely for short-term gain. Instead, it has to consider the future impact on society, the environment, and a wide range of stakeholders. Companies now report annually on how they have met their CSR and are benchmarked and ranked against competitors.

Community
Housing; healthcare; infrastructure; partnering with local institutions; local supplier initiatives; education; training; local employment

97% of UK FTSE 100 companies reported on CSR in 2011

Environment
Company's carbon footprint, including recycling; water and waste management; energy use; transportation